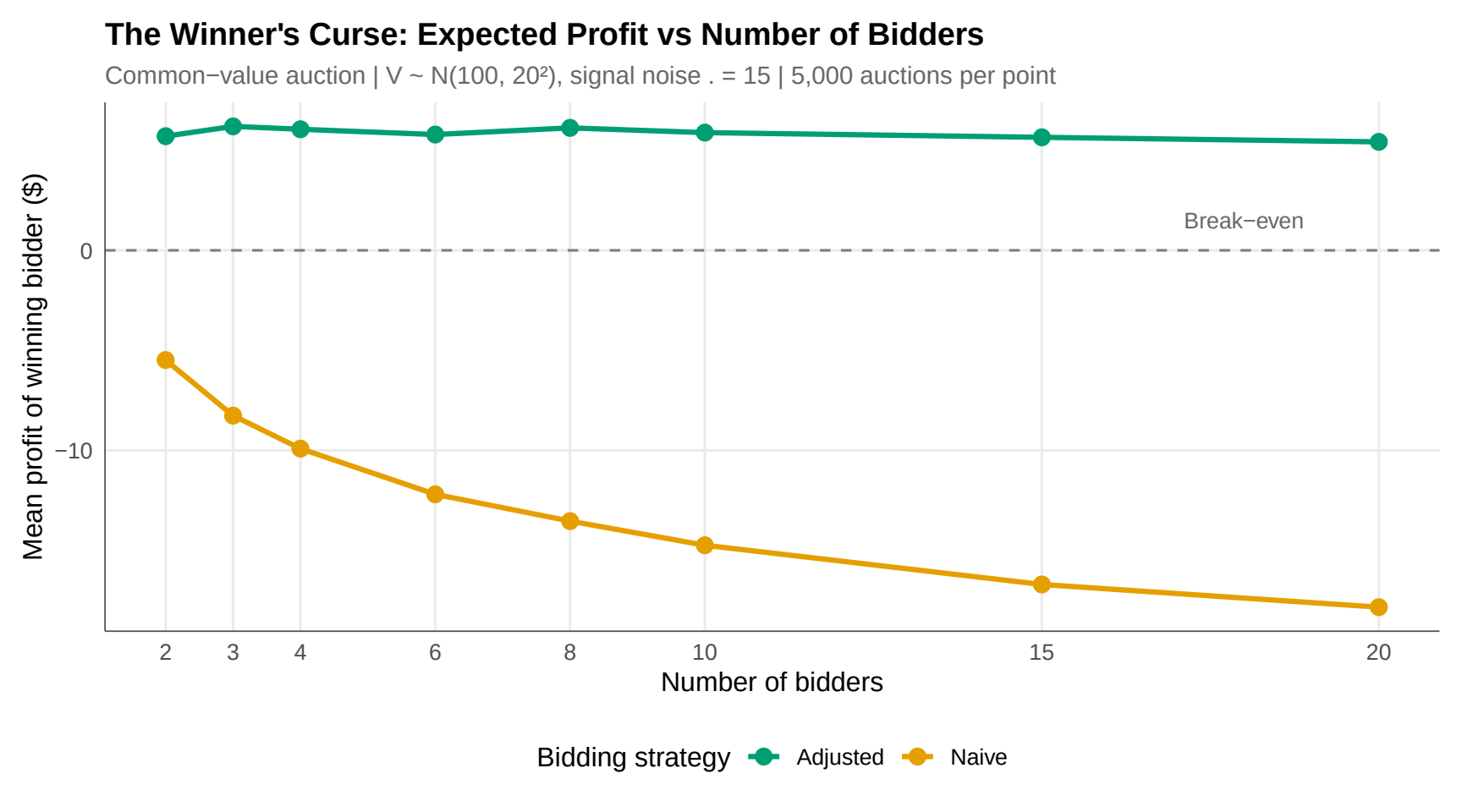
The Winner's Curse: Expected Profit vs Number of Bidders
Common−value auction | V ~ N(100, 20²), signal noise . = 15 | 5,000 auctions per point
Mean profit of winning bidder ($)
0
−10
Break−even
2
3
4
6
8
10
15
20
Number of bidders
Bidding strategy
Adjusted
Naive